

South Asia's Great Power Competition

US-India-China and the New Asian Cold War

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Executive Summary

South Asia has become the most contested geopolitical terrain in the world's most consequential bilateral rivalry. The US-China strategic competition — which is reshaping global trade, technology, and security architecture — is being fought in South Asia through multiple simultaneous contests: the Quad's maritime security architecture (US-Japan-Australia-India) versus China's BRI connectivity investment; the US-India technology partnership (iCET, semiconductor cooperation, defense co-production) versus China's CPEC deepening with Pakistan; the competition for influence in Nepal, Sri Lanka, Bangladesh, and the Maldives through development finance, diplomatic engagement, and security cooperation; and the India-China bilateral that is the region's fastest-changing and most consequential strategic variable. South Asia in 2026 is not yet a bifurcated Cold War theatre — India's strategic autonomy prevents the clean US-India alignment that would constitute a formal bloc — but the structural direction is toward an increasingly clear division between a US-India aligned strategic space and a China-Pakistan strategic partnership, with smaller South Asian states navigating between these poles.

India's geopolitical significance in this competition cannot be overstated: India is the only country in the world with the scale, capability, and non-aligned positioning to serve as a genuine counterweight to Chinese influence in Asia without being a formal US ally. The US strategic calculation — shared bipartisan across the Biden and Trump 2.0 administrations — is that India's continued strengthening (through technology transfer, defense cooperation, trade agreements, and diplomatic support) is the single most cost-effective investment the US can make in balancing Chinese power in Asia. India's calculation — that US partnership provides technology, market access, and strategic support without requiring the subordination of Indian interests to US priorities — makes this partnership geometrically stable in a way that formal alliances are not.

Part I — The India-China Bilateral: Rivalry in the Himalayas and Beyond

From "Chindian" to Competitor

The India-China economic relationship that defined the first two decades of the 21st century — a "Chindian" partnership of shared developing-country interests, growing trade (\$125+ billion bilateral), and diplomatic coordination in multilateral forums — has been fundamentally disrupted by the Galwan Valley clash of June 2020 and China's subsequent refusal to de-escalate along the LAC. The Indian government's response has been systematic: economic decoupling measures (banning Chinese apps, FDI screening), security buildup along the LAC (permanent road and infrastructure construction in eastern Ladakh), diplomatic distancing (India joining G7 partner country frameworks, deepening Quad), and industrial policy (PLI schemes targeting reduction of Chinese component import dependency).

India's fundamental challenge: the \$100+ billion bilateral trade deficit with China is not easily eliminated even when political relations are hostile. India imports Chinese electronic components, chemicals, active pharmaceutical ingredients, and industrial equipment that it cannot substitute domestically at competitive cost in the short term. The PLI programme is the instrument for this substitution — but it is a 10-15 year programme, not a 1-2 year emergency measure. India is simultaneously competing with China geopolitically and dependent on China economically — a structural tension that defines India's strategic position more than any other single factor.

China's Belt and Road in South Asia

China's Belt and Road Initiative has invested across South Asia through multiple channels: CPEC (\$62 billion+ in Pakistan), port development (Hambantota, Sri Lanka; Chittagong, Bangladesh; Gwadar, Pakistan; Kyaukphyu, Myanmar), road and bridge infrastructure in Nepal, and airport and highway investment in the Maldives, Bangladesh, and Sri Lanka. The BRI's South Asian footprint gives China economic leverage (through debt instruments and infrastructure dependency) and potential military-strategic positioning (port access, dual-use infrastructure) across India's strategic periphery — a fact that Indian strategic planners characterise as a "string of pearls" encirclement.

The BRI's South Asian momentum has slowed since 2020: the COVID pandemic interrupted construction; Sri Lanka's debt crisis made Chinese BRI lending politically toxic; Bangladesh has taken a more cautious approach to Chinese debt instruments under the Yunus interim government; and Nepal's BRI projects have stalled in financing negotiations. China's response — offering grant aid alongside loans, restructuring terms for distressed Sri Lanka debt — signals that Beijing recognises the reputational damage of "debt trap" perceptions and is adapting its engagement model accordingly.

Part II — The Quad and Indo-Pacific Architecture

India in the Quad: A Cooperative Autonomist

India's relationship with the Quad (US-Japan-Australia-India) is that of a cooperative autonomist: India participates in Quad institutions, working groups (vaccines, clean energy, semiconductor supply chains, cybersecurity, space), and military exercises (Malabar naval exercise) while explicitly limiting the Quad's military-alliance characteristics. India has declined to endorse NATO-style collective defense commitments, declined to host US military bases, and declined to join AUKUS (the nuclear submarine transfer mechanism). India frames the Quad as a values-based multilateral for a "free and open Indo-Pacific" — not an anti-China alliance, even though its principal strategic purpose is balancing Chinese influence.

The Quad's most concrete achievements are economic and technology-focused rather than military: the ICET (Initiative on Critical and Emerging Technologies) US-India bilateral framework has advanced jet engine co-production (GE F414 for LCA Tejas), semiconductor technology sharing, space situational awareness, and AI governance alignment. The Quad vaccine initiative (COVAX manufacturing coordination, with India's Serum Institute as the primary producer) demonstrated that the Quad could produce tangible global public goods, not just strategic signaling. The Quad Infrastructure Partnership — attempting to offer developing nations' infrastructure financing as an alternative to Chinese BRI lending — is under-resourced compared to China's BRI institutional infrastructure but represents a genuine Western counter-architecture.

Part III — The Smaller States and Their Strategic Navigation

The Maldives Pivot

The Maldivian archipelago — 1,200 islands with 500,000 people, positioned at the entrance to the Indian Ocean's busiest shipping lanes — has become a microcosm of South Asia's great power competition. President Mohamed Muizzu (elected October 2023) came to power on an explicitly India-sceptical platform — "India Out" was his campaign's most potent slogan — and within months of taking office, requested the withdrawal of the small Indian military contingent (90+ personnel operating two Indian helicopters used for medical evacuation in the remote atolls). India withdrew; China accelerated engagement. Muizzu visited Beijing in January 2024 — breaking with the tradition of new Maldivian presidents visiting New Delhi first — and signed 20 bilateral cooperation agreements including infrastructure assistance and military equipment provision.

The Muizzu-Beijing pivot exemplifies the "India-China swing" that every small South Asian state navigates — using the US-India vs China competition to extract maximum development financing from both sides while maintaining nominal non-alignment. The Maldives under Muizzu is tilting toward China; but its economic dependence on Indian tourists (the largest single source of Maldivian tourism revenue), Indian trade (primary supplier), and Indian emergency assistance (the 2004 tsunami relief) creates structural dependency that no Chinese engagement can quickly substitute.

Bangladesh's Balancing Act

Bangladesh's post-Hasina interim government under Yunus has signaled greater strategic openness — to India (patching the relationship damaged by India's hosting of Sheikh Hasina), to China (continuing BRI infrastructure engagement), and to the US (Yunus has personal relationships in Washington from his Grameen Bank Nobel Prize network). Bangladesh's strategic positioning under Yunus is more genuinely non-aligned than under Hasina, who had leaned toward China-India balance while maintaining the Hasina family's own India-tilt for personal protection reasons.

Part IV — Pakistan's Isolation and China's Lifeline

The US-Pakistan Estrangement

The US-Pakistan relationship — which was the backbone of South Asian security architecture from the 1950s (SEATO, CENTO) through the 2000s (post-9/11 counterterrorism cooperation) — has effectively collapsed in strategic terms. US security assistance to Pakistan has fallen from \$3.4 billion annually (2009) to less than \$200 million (2025). Congressional legislation (the Glenn Amendment, CAATSA) constrains executive branch flexibility to provide military assistance. US intelligence sharing with Pakistan — which was the most operationally valuable aspect of the relationship — has been significantly curtailed following evidence of ISI double-dealing on Taliban sanctuary. Pakistan's civilian government has attempted to rehabilitate the relationship (Shehbaz Sharif's multiple US visits), but the structural damage — US withdrawal from Afghanistan removed Pakistan's primary leverage (the Ground Lines of Communication) — is not easily repaired.

Pakistan's increasing China dependency — CPEC, Chinese conventional arms (JF-17, Yuan-class submarines, HQ-9 air defense, drone systems), Chinese diplomatic cover at the UN Security Council (blocking resolutions targeting Pakistan-linked groups) — means Pakistan has effectively resolved its strategic ambiguity by necessity: China is Pakistan's primary patron, and the US relationship is an irritating diplomatic legacy rather than a strategic anchor.

Conclusion: South Asia's Contested Centre

South Asia in 2026 is the most geopolitically consequential arena in the world that is not yet the subject of the unambiguous great-power competition framework being applied to Taiwan, the South China Sea, or Ukraine. It is contested, fluid, and determined as much by the agency of South Asian states — India's

strategic autonomy, Bangladesh's political transition, Nepal's hydropower diplomacy, Sri Lanka's debt management — as by external power competition.

The structural trajectory: India's growth, defense buildup, and technology partnership deepening with the US is the most consequential single variable, creating a gravitational centre in South Asia that smaller states orbit pragmatically. China's BRI investments and Pakistan partnership form the counter-gravitational field. The smaller states — Nepal, Bangladesh, Sri Lanka, Maldives, Bhutan — swing between these fields based on who offers better terms in each development cycle. South Asia has always been contested terrain; what is new is the scale and pace of the contestation, and the nuclear arsenal density that makes miscalculation in this theatre uniquely catastrophic.

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All data from RAND, Carnegie Endowment, Lowy Institute, IISS, and cited sources.